DE–7983 **11**

DISTANCE EDUCATION

B.B.A. (Banking) DEGREE EXAMINATION, MAY 2014.

BUSINESS COMMUNICATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Give a brief note

   (a) F.O.B.

   (b) Atstation

   (c) F.O.R.

   (d) C.W.O.

2. When are status enquiries necessary?

3. What are the points to be included in drafting order letters?

4. What is meant by trades Bank reference?

5. List out the features of a collection letter.

6. Write a letter to a bank by a customer for asking overdraft.

7. Give a specimen of an agenda for a statutory meeting.

8. What are the steps to be adopted while drafting a report?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Write an enquiry letter from Mrs. Rajan & Co to the chennai Aravind merchants asking for details of silk sarees, cotton sarees and terry cotton cloths.

10. Write a letter to Mrs. Mohan & sons Mumbai stating that you are unable to execute the order by the due date explaining your inconvenience and ask for a week's time for the execution of order.

11. Write a letter to a seller for acknowledging the receipt of goods and sending payment.

12. Make a complaint letter to your supplier for delay in delivery of goods and the request to settle the loss.

13. A party has applied for a loan of Rs. 5 lakhs against some shares and his buildings. As a manager of a bank write a polite letter regreeting to grant the loan applied for.

14. Prepare the minutes of an extra-ordinary metting of the India Cements Ltd, Tirunelveli held to effect reduction of share capital.

15. Explain briefly the organisation of a report.

DE–7984 **12**

DISTANCE EDUCATION

B.B.A. (Banking) DEGREE EXAMINATION, MAY 2014.

PRINCIPLES OF ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the Malthusian theory of population.

2. Explain the law of demand.

3. Analyse the different types of elasticity of demand.

4. Explain the law of diminishing returns.

5. Distinguish between fixed costs and variable costs.

6. What are the different types of monopoly?

7. List down the features of monopolistic competition.

8. Critically examine the liquidity preference theory of interest.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the difficulties in the measurement of national income.

10. Discuss the economies of large scale production.

11. Explain how price and output is determined under perfect competition.

12. Analyse price and output determination under different cost conditions in monopoly markets.

13. Examine marginal productivity theory of wages.

14. Evaluate Ricardian theory of rent.

15. Critically explain liquidity preference theory of interest.

DE–7985 **13**

DISTANCE EDUCATION

B.B.A. (B) DEGREE EXAMINATION, MAY 2014.

MONEY AND BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

Each question should not exceed 1 page.

1. Define money. Explain its importance in a modern economy.

2. Explain the procedure and rule of constructing price index number.

3. What do you mean by money market? Explain its role in the economic development of a country.

4. Name any four commercial banks and its functions.

5. Elaborate the functions of RBI.

6. Bring out the evolution of SBI and its function.

7. What is meant by capital market? Explain its characteristics.

8. Write a note on deflation.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the nature and functions of money.

10. Explain the concept of value of money and its measurement.

11. State the different types of money market and its characteristics.

12. Explain the role of SBI in the Industrial development of the country.

13. Explain the problems and prospects of Indian private sector banks.

14. Elaborate the role of EXIM bank in financing of foreign trade.

15. Discuss the role of central bank in the economic development of a country.

DE–7986 **14**

DISTANCE EDUCATION

B.B.A (Banking) DEGREE EXAMINATION, MAY 2014.

RURAL BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. What are the requisites of a Good Rural finance system?

2. State the problems faced by the Commercial Banks in providing banking services in Rural Area.

3. Explain the Bio-gas programme.

4. State the four aspects of project identification.

5. What are the components of service area approach?

6. What are the main features of Head Bank scheme?

7. Explain the functions of District Industries Centers?

8. What are the feature of scavengers rehabilitation Programme?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Examine the role of Agriculture in the Indian Rural Economy.

10. State the different types of Financial Assistance provided by the Commercial Banks to the rural sector?

11. Explain the deficiencies and suggest the remedies for improving the performance of the Integrated Rural Development Programme.

12. Explain the limitations of implementing Service Area Approach.

13. Describe the functions and services of Small Industries Development Bank of India.

14. Explain the six different aspects involved in project appraisal.

15. Examine the role of allied activities play in the rural economy of India.

DE–7987 **15**

DISTANCE EDUCATION

B.B.A. (Banking) DEGREE EXAMINATION, MAY 2014.

FINANCIAL ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Enter the following transactions in a three column cash book of Rajan.

	₹
Cash balance	350
Bank balance	2,450
Cash received on sale of shares	4,000
Paid into bank	3,150
Paid to Alfred	750
And discount allowed by him	25
Paid wages by cash	50
Received from Balan	350
And allowed him discount	50
Sold goods for cash	510
Bought goods for cash	1,000
Cash withdrawn for personal use	200
Paid into bank	500
Received from Ramu	1,250
And allowed him discount	60
Paid cheque for cash purchase	350
Paid cheque for office rent	80
Drew cheque for office use	200.

2. From the following particulars, ascertain the bank balance as would appear in the pass book as on 31.12.2011.

   (a) The bank overdraft (Credit balance) as per cash book on 31.12.2011 was ₹ 6,000.

   (b) Interest on overdraft, six months ending 31.12.2011 amounting to ₹200 is debited in the pass book.

   (c) Bank charges for the above period also debited in the pass book which amounted to ₹50.

   (d) Cheques issued but not presented for payment before 31.12.2011 amounted to ₹1,500.

   (e) Cheques paid into the bank, but not cleared and credited before 31.12.2011 were ₹2,500.

   (f) Interest on Government securities collected by the bank and credited in the pass book amounted to ₹1,800.

3. Anand sends his promissory note for 3 months to anitha for ₹1,200 on 02.05.2011. Anitha gets it discounted with her bankers at 6% per annum on the due date the bill is dishonoured, the banker paying ₹ 10 as moving charges. Anitha agrees to accept ₹250 in cash (₹50 for noting charges and interest) and another promissory note for ₹1,000 for 2 months. On the due date Anand approaches Anitha again and asks for renewal of the bill for a further period of 3 months. Anitha agrees to the request provided Anand pays ₹60 as interest in cash. The last bill was met at maturity.

   Draw Journal entries in the books of Anand and Anitha.

4. Selvam owes Muthu ₹1,340 on 1.1.2012. Following further transactions take place between them.

   January 16, Selvam buys goods ₹1,400

   February 2, Selvam receives cash ₹1,100

   March 5, Selvam buys goods ₹800.

   Selvam pays the whole amount on 31.3.2012 together with interest at 5% per annum.

   You are required to calculate Average Due Date and interest.

5. What is a Receipt and Payment account? How does it differ from an Income and Expenditure account.

6. Vijay and Vimal are partners in a firm sharing Profits and losses in the ratio of 3 : 2 as on 31.3.2012. Their Balance sheet was as under :

Liabilities		₹	Assets		₹
Creditors		90,000	Cash		5,000
Bills payable		25,000	Bank		40,000
Capital Accounts			Stock		60,000
Vijay	1,50,000		Furniture		20,000
Vimal	1,20,000	2,70,000	Land and building		2,00,000
			Debtors	62,000	
			Less : Provision for Bad debt	2,000	60,000
		3,85,000			3,85,000

   On 1.4.2012, they admit Vinoth into partnership on the following conditions :

   (a) Vinoth has brought ₹1,00,000 as capital.

   (b) The value of Land and building was to be increased by ₹20,000.

(c) Stock and furniture were to be depreciated by ₹10,000 and ₹5,000 respectively.

(d) ₹15,000 to be written off from Sundry creditors as it is no longer liability.

(e) Provision for doubtful debts is to be increased by ₹1,000.

You are required to prepare Revaluation account, capital account and Balance sheet after the admission of the new partner.

7. Kumar Ltd issued 1,70,000 shares of ₹10 each at a discount of 10%. The shares were payable as under.

On application ₹3

On allotment ₹4 (with adjustment of discount)

On first and final call ₹2.

Public applied for 1,60,000 shares and the shares have been duly allotted. All money were duly received. You are required to pass necessary journal entries in the books of the company.

8. Discuss the accounting policy to be followed regarding recognition of income in relation to non-performing assets.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. From the following particulars extracted from the books of Anbananthan, prepare the trading and profit and loss account for the year ended 31.3.2012 and Balance sheet as on 31.3.2012.

	₹		₹
Capital	5,00,000	Land	1,35,000
Cash in hand	20,000	Sales	12,50,000
Cash at bank	5,000	Carriage inward	8,000

	₹		₹
Building	3,00,000	Gas	22,000
Wages	1,50,000	Creditors	1,22,000
Salaries	1,00,000	Debtors	1,50,000
Rent and taxes	18,000	Purchase return	20,000
Printing and stationery	12,000	Sales return	15,000
		Bills receivable	40,000
Stock on 1.4.2011	80,000	Discount received	4,000
		Discount allowed	5,000
Purchases	7,00,000	Furniture	30,000
Insurance	8,000	Travelling expenses	18,000
Machinery	1,20,000		
Drawings	80,000		
Loans	1,00,000		

Additional information :

(a) Prepaid insurance ₹2,000

(b) Depreciation on machinery 10% and furniture 5%.

(c) Interest on capital at 3%.

(d) Outstanding wages ₹8,000 and outstanding salaries ₹6,000.

(e) Write off bad debts ₹10,000 and create a reserve for bad debts at 3% on debtors.

(f) Value of closing stock ₹1,00,000.

10. Karuppan of Tirupur sends 40 cases of Hosiery goods worth ₹20,000 to Gokale of Bombay to be sold on consignment basis on 1.4.2012. Karuppan pays ₹500 towards freight charges. The goods are received by Gokale and he accepts a bill drawn on him by Karuppan

at 3 months, for ₹10,000 on 5.4.2012. The bill was discounted on the next day by Karuppan at 6% per annum. On 5.7.2012, Gokale sends an Account sales to Karuppan showing that sales of the entire stock have been effected totalling ₹24,800. His expenses are : Godown rent ₹500 and insurance ₹250. Gokale is entitled to a commission of 6% on sales proceeds. Gokale sent a bank draft for the balance due to Karuppan and settled his account.

Pass journal entries and show ledger accounts in the books of consignor and consignee.

11. Dr. Elango commenced practice as an eye specialist, investing ₹50,000 in equipment, on 1.1.2011. The Receipts and payments account for the year as follows :

Receipts	₹	Payments	₹
To fees	1,00,000	By Rent	6,000
To Miscellaneous		By Salary	15,000
receipts	200	By Journal	2,000
To Equipment		By Library books	6,000
sold	4,000	By equipment	
		purchase	8,000
		By Drawing	24,000
		By balance c/d	43,200
	1,04,200		1,04,200

Fees of ₹3,000 was still outstanding. Equipment sold on 1.10.2011 was ₹6,000. Depreciation on equipment is 20% and on Library books 5%. Salaries still payable is ₹2,000.

You are required to prepare Balance sheet as on 31.12.2011.

12. Hema, Sudha and Latha were partners of a firm sharing profits and losses in proportion to their capital. Their balance sheet as on 31.12.2011 stood as under :

Liabilities		₹	Assets		₹
Creditors		21,000	Cash		16,000
Reserve fund		48,000	Debtors	20,000	
Capital Accounts :			Less : Provision		
Hema	90,000		for doubtful		
Sudha	60,000		debts	1,000	19,000
Latha	30,000	1,80,000	Stock		18,000
			Machinery		48,000
			Land		1,00,000
			Goodwill		48,000
		2,49,000			2,49,000

On 1.1.2012, Sudha retired from the firm on the following terms:

(a) Goodwill of the firm was estimated at ₹36,000.

(b) The land was appreciated by 10%.

(c) Provision for doubtful debts was reduced by ₹600.

(d) Out of the amount of insurance which was debited entirely to profit and loss account, ₹2,000 be carried forward for unexpired insurance.

(e) A provision of ₹3,000 was made in respect of an outstanding bill for repairs.

Show Revaluation account, Capital accounts and the Balance sheet after the retirement of a partner.

13. Distinguish between shares and debentures.

14. A company issues 50,000 equity shares of ₹100 each at a discount of 10% (allowed at the time of allotment). The net amount payable is as follows :

On application ₹20

On allotment ₹20

On first call ₹25 and

On final call ₹25.

All the shares were applied and money was duly received except one shareholder, David holding 100 shares did not pay final call money. The shares were forfeited. Out of these, 40 shares were reissued to Ramya at ₹70 per share as fully paid up. Pass Journal entries in the books of the company.

15. From the following particulars, Prepare Profit and loss account of Safety Bank for the year ended 31.3.2012.

	₹
Interest on deposits	32,00,000
Commission (Cr.)	1,00,000
Interest on loans	24,90,000
Sundry charges (Dr.)	1,00,000
Rent and Taxes	2,00,000
Payment to employees	5,00,000
Discount on bills discounted	14,90,000
Interest on overdrafts	16,00,000
Interest on cash credits	23,20,000
Auditors fees	35,000
Directors fees	15,000
Bad debts	3,00,000

Provide for income tax @50% of Net profit.

DE–7988 **21**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (B) Lateral DEGREE EXAMINATION, MAY 2014.

PRACTICE AND LAW OF BANKING – I

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the banker's obligation to honor cheques.
2. Discuss the banker's right to close an account of a customer.
3. Distinguish between a cheque and a draft and bring out clearly the risk of honoring a post-dated cheque.
4. Define endorsement. What are its significance?
5. Write a note on MICR cheques.
6. What risk does a banker incur in opening an account with trustees and executors?
7. When will a wrong entry favorable to a customer constitute a settlement of account?
8. State the services of merchant banking division of a commercial bank.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define the terms 'banker' and 'customer' and bring out the relationship that exits between them.
10. What is negotiable instrument? What are its features? Who are the parties to a negotiable instrument?

11. What is crossing? Explain its different kinds with examples.

12. Discuss in detail the statutory protection granted to a paying banker under the Negotiable Instruments Act.

13. What precautions should a banker generally take while opening an account in the name of

    (a) Minor and

    (b) A married woman.

14. Explain the legal position of a banker with regard to a fixed deposit.

15. Write short notes on :

    (a) Safe deposit locker

    (b) Traveller's cheque and

    (c) Gift cheque.

DE–7989 **22**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

MANAGEMENT PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Who is a manager? List out their roles.

2. Discuss the features of a scientific management.

3. What do you mean by planning? Describe the importance of it.

4. Explain the planning adopted by a banks for deposit.

5. What is delegation? How it is differ from decentralisation?

6. What is line or military type of organisation? Give its merits and demerits.

7. What is recruitment? Enumerate the various sources of recruitment adopted by the bank.

8. Define the term "Directing". Bring out its principles.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What do you mean by administration? How it will differ from management?

10. Describe the stages in decision making.

11. Discuss elaborately the principles of organisation.

12. Explain in detail the methods adopted by a banks for training.

13. Enumerate the forms and process of communication.

14. Describe briefly the steps and importance of control process.

15. Explain clearly the key areas of control.

DE–7990 **23**

DISTANCE EDUCATION

B.B.A. (B)/B.B.A. (B) (Lateral) DEGREE EXAMINATION, MAY 2014.

BUSINESS STATISTICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. Explain the scope of statistics.

2. What are the various measures of central tendency?

3. Define correlation. Explain its business uses.

4. How can index numbers be constructed?

5. Find the harmonic mean from the following data:

X :	10	20	40	60	120
F :	1	3	6	5	4

6. From the following data compute Quartile Deviation and Coefficient of Quartile Deviation.

   X : 24, 7, 11, 9, 17, 3, 20, 14, 4, 22, 27.

7. Estimate the value of Y for $X = 22$ for the following data using Newton's formula.

X :	20	25	30	35	40
Y :	73	198	573	1198	1450

8. Calculate the trend by the method of five years moving averages for the following data :

Year :	1991	1992	1993	1994	1995
Sales :	500	520	550	470	510
Year :	1996	1997	1998	1999	2000
Sales :	540	560	570	590	610

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Define Statistics. Explain different methods of statistics.

10. What is Time Series? Explain different components of it.

11. Critically examine various methods of measuring dispersion. Which method do you think is the best and why?

12. Calculate Median for the following data :

Class interval :	0-10	10-20	20-30	30-40
Frequency :	7	18	34	50
Class interval :	40-50	50-60	60-70	
Frequency :	35	20	6	

13. The following table gives the relative values of two variables :

X :	42	44	58	55	89	91	66
Y :	56	49	53	58	65	76	58

Calculate Karl Pearson's coefficient of correlation.

14. Using Lagrange method, determine the percentage of criminals under 35 years of age.

Age :	under 25	under 30	under 40	under 50
% of criminals :	52	67.3	84.1	94.4

15. From the following data, calculate Laspeyre's, Passche's, Dorbish-Bowley's and Fisher's Ideal index numbers.

Item	Base year		Current year	
	Price (Rs.)	Quantity (kg)	Price (Rs.)	Quantity (kg)
A	6	50	10	56
B	2	100	2	120
C	4	60	6	60
D	10	30	12	24
E	8	40	12	36

DE–7991 **24**

DISTANCE EDUCATION

B.B.A. (Banking)/ B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

BUSINESS (COMMERCIAL) LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the rules of a valid contract.

2. Differentiate bailment and pledge.

3. 'Consideration need not be adequate' – Explain.

4. Distinguish between sale and agreement to sell.

5. Explain the effect of document not being duly stamped.

6. Explain the consequences for default in holding the annual general meeting.

7. Explain the procedure for registration of documents as per the provisions of registration act.

8. Explain the significance of stamping of documents.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the rights and duties of an agent.

10. Explain the remedies for breach of contract.

11. Explain about doctrine of ultravines.

12. Explain the reasons for variations in stamp duty from state to state.

13. Describe about the time limit for filing suit in certain specific cases of special interest to bankers like recovery of mortgages and money.

14. Define partnership. Explain the contents of partnership deed.

15. Bring out the important provisions of companies Act 1956.

DE–7992 **25**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (B) (Lateral) DEGREE EXAMINATION, MAY 2014.

FOREIGN EXCHANGE AND FINANCING OF FOREIGN TRADE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the Role of Banks in Foreign Trade.

2. Define Bill of Exchange. Write the different types of bills.

3. Write a note on Foreign Exchange Market.

4. Explain the different kinds of Exchange Rates.

5. Write short notes on Export Trading Houses.

6. Discuss certificates of Deposit in abroad and India.

7. Write the procedure for opening of a letter of credit.

8. Explain the classification of International Bank lending.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the functions of Foreign Exchange Department.

10. Enumerate the various documents used in Foreign Trade.

11. Discuss the procedure for determination of Exchange Rates.

12. Explain the various Export Promotion measures in India.

13. List out different methods of Import Financing.

14. Define Project Exports. Explain the methods of financing project exports.

15. What are the functions of Export-Import Bank of India.

DE–7993 **31**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

PRACTICE AND LAW OF BANKING – II

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)
Answer any FIVE questions.

1. Distinguish between secured and unsecured advances.

2. Distinguish between loans and advances and overdraft.

3. What are the features of mortgage?

4. What are the features of contract of guarantees?

5. Explain the rights to guarantor.

6. Explain the non-legal and legal remedies available to deal with NPA.

7. What are the causes of Industrial sickness?

8. State the procedure for the appraisal of term loan by commercial banks.

SECTION B — (4 × 15 = 60 marks)
Answer any FOUR questions.

9. What are the principles of sound lending?

10. Write a detailed note on the rights of mortgagee and mortgager.

11. What are the advantages and disadvantages of granting loan against life policy?

12. What are the obligations of creditors towards surety?

13. What are the factors contributing to NPAs?

14. Explain in detail the need for rehabilitation programme of sick industries.

15. Discuss the important provisions of the Indian-Stamp Act 1899.

DE–7994 **32**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

MARKETING OF BANKING SERVICES

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is Marketing? What are the features of modern marketing concept?

2. Describe the importance of marketing.

3. Explain the concept of Social marketing.

4. Write a note on SWOT analysis of bank marketing.

5. What are non-fund based businesses of banks?

6. What are the typical pricing objectives?

7. Define promotion. What are the three basic purposes of promotion?

8. What should be the characteristics of a good personnel policy?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. 'Marketing is a system of integrated business activities designed to develop strategic plans leading to the satisfaction of customer wants to selected market segments'. Explain.

10. Discuss the relative importance of all environmental forces affecting the marketing system of a bank.

11. Discuss the strategies of a bank relating to product planning and development.

12. Discuss the usual types of pricing policies adopted by banks.

13. Describe different types of salesmen and point out their role in the bank marketing.

14. Enumerate the important advertising media used by banks and point out their relative advantages.

15. What are the various stages to be gone through in the selection of bank personnel?

DE–7995 **33**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

MANAGEMENT ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the advantages of management accounting?

2. What is budget, budgeting and budgetary control?

3. Explain the nature and concept of capital budgeting.

4. Distinguish between Absorption and Marginal Costing.

5. What are the limitations of Ratio Analysis?

6. What are the essentials of an ideal report?

7. Find out :
   (a) Current assets
   (b) Current liabilities
   (c) Liquid assets
   (d) Stock
   Current ratio 2.5
   Liquid ratio 1.5
   Working capital Rs. 90,000.

8. P/V Ratio is 30% Margin of safety ratio is $33\frac{1}{3}\%$ and sales are Rs. 19,90,000. Calculate the amount of profit.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the different methods of Capital Budgeting.

10. How does cash flow statement differ from fund flow statement?

11. The following is the profit and loss account of '*S*' Ltd for 2005 and 2006

Profit and Loss Account for the year ended 31st December

	2005	2006		2005	2006
To Cost of sales	4,63,250	4,83,899	By Sales	7,21,456	8,34,250
To Operating exps :			Less : Return	11,588	13,903
Administrative	46,531	54,137		7,09,868	8,20,347
Selling	91,823	1,15,632	By Other incomes :		
To Interest paid	4,275	3,500	Interests	3,795	2,620
To Loss on sale of			Discounts	4,250	3,792
fixed items	1,254	350	Profit on sale		
To Income tax	43,038	80,390	(Land)	3,000	–
To New profit	70,742	88,851			
	7,20,913	8,26,759		7,20,913	8,26,759

Prepare a common size profit and loss a/c.

12. A company furnishes you the following information calculate P/V Ratio and Fixed Cost

	I Half Rs.	II Half Rs.
Sales	8,10,000	10,26,000
Profit	21,600	64,800

From the above you are required to compute the following assuming that the fixed cost remains the same in both the periods.

(a) The amount of profit or loss where sales are Rs. 6,48,000

(b) The amount of sales to earn a profit of Rs. 1,08,000.

13. Initial investment Rs. 60,000

Life of the Assets 4 years

Estimated net annual cash flows :

Ist year Rs. 15,000, IInd year Rs. 20,000, IIIrd year Rs. 30,000, IVth year Rs. 20,000

Calculate internal rate of return.

14. The cost of an article at a capacity level of 5000 units is given under A below. For a variation of 20% in capacity above or below this level the individuals vary as indicated under B below

	Rs.
Material cost	25,000 (100% varying)
Labour cost	15,000 (100% varying)
Power	1,250 (80% varying)
Repairs and Maintenance	2,000 (75% varying)
Stores	1,000 (100% varying)
Inspection	500 (20% varying)
Depreciation	10,000 (100% varying)
Admn. OH's	5,000 (25% varying)
Selling OH's	3,000 (25% varying)
	62,750
Cost per unit	12.55

Find out the unit cost of the product at production levels of 4000 unit and 6000 units.

15. Distinguish between Cost Accounting and Financial Accounting.

DE–7996 **34**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

COMPUTERS AND BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are different generation of computers?

2. How can a binary number be converted to decimal?

3. Write a note on 'octal and hexadecimal'.

4. What are peripheral controllers?

5. What is software? Is it necessary to operate a computer?

6. What is operating system?

7. Explain the uses of ATMs.

8. How can a bank manage the malicious damage?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain different types of computers.

10. Discuss various methods of representation of non numeric data.

11. Explain the concept of anatomy of computers.

12. Describe different programming languages.

13. Enumerate the features of 'stand alone computer system' and LAN.

14. 'Computerisation of banks gives numerous benefits to banks and customers'. Explain

15. Explain the security considerations in the usage of computers.

DE–7997 **35**

DISTANCE EDUCATION

B.B.A. (Banking)/B.B.A. (Banking) (Lateral) DEGREE EXAMINATION, MAY 2014.

DEVELOPMENT BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)
Answer any FIVE questions.

1. List out various forms of assistance undertaken by Industrial Finance Corporations of India.

2. How does technical development fund schemes operates under IDBI?

3. What are the various forms of assistance given by SIDBI?

4. Enumerate the various forms of assistance of NSIC.

5. What are the objectives of EXIM Bank?

6. What are the different activities of UTI?

7. Explain the role of CARE to industries.

8. Describe the functions of ICRA.

PART B — (4 × 15 = 60 marks)
Answer any FOUR questions.

9. Discuss the objectives of development banking.

10. Describe the various types of direct assistance sanctioned by IDBI.

11. Elucidate the various functions of ICICI.

12. Explain functions of SFC.

13. Enumerate the functions of N.H.B.

14. Explain the role of LIC for the development of Indian Industries.

15. What are the objectives of credit rating? Explain the methodology followed by CRISIL in rating credit instruments.